BYBLOS BANK SYRIA

# FATCA Identification
## ( PSY 35 )

PROCEDURES & PROCESS REVIEW UNIT

OSP DEPARTMENT

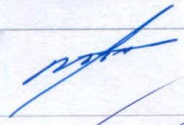
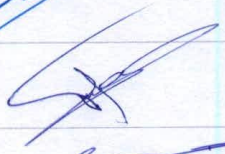
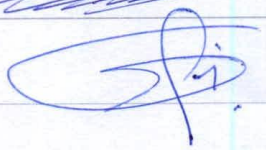
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# A1- INTRODUCTION

**The Foreign Account Tax Compliance Act ("FATCA")** is a US legislation with the primary goal of providing the Internal Revenue Services ("IRS") with an increased ability to detect US tax evaders concealing their assets in non-US financial accounts or indirectly through offshore entities.

In this context, the regulations request Foreign Financial Institutions ("FFI"), such as Byblos Bank, to enter into an agreement with the US tax authorities (IRS) by which they agree to identify and report directly to the IRS certain information about specific type of banking products held by US clients (individuals or entities) or by certain non-US entities (referred to as NFFE) in which a U.S. partner/shareholder owns at least 10% of the company. As well, an FFI is required to deduct a 30% tax (referred to as withholding tax) on certain types of payments or income (referred to as withholdable payments) received by a recalcitrant client (Byblos Bank clients not compliant with FATCA) and non-participating FFI (an FFI that did not enter into an agreement with the IRS).

Byblos Bank Group has registered with the IRS as a participating FFI. If Byblos Bank fails to comply with the above requirements, it becomes a NPFFI and might be subject to a 30% tax withheld by other Financial Institutions to the account of the IRS on its withholdable payments.

The below procedure describes FATCA due diligence processes (Identification & documentation) and the major principles that are deemed necessary to guarantee the compliance of BBS with the IRS requirements and specifies the Roles & Responsibilities of the involved parties *(mainly, branches/ Operations Department/ Compliance Unit)*.

**BRO (Beneficial Right Owner):** As per FATCA regulation, BRO is the one who has the ultimate level of control or entitlement on the account balances. In accordance to Byblos Bank policies and procedures, the BRO does not have any power over the account balances , however he will be subject to identification for KYC & AML purposes given that he is deemed the ultimate source or the ultimate beneficiary of the funds.

**De-Minimis rule:** FATCA regulations exempt participating FFIs from conducting FATCA due diligence on all pre-existing clients having a preset threshold equal or less than USD 50,000 for individual and equal or less than USD 250,000 for entities on their FATCA financial accounts aggregated balances as at 25.08.2014. Byblos Bank opted not to include Regulated FIs (defined further below) in the threshold exemption.
***NB***: Entities that were on-boarded between 25.08.2014 and 31.12.2014 will not benefit from such threshold exclusion (i.e. will not be covered by de-minimis rule).

**Due Diligence:** FATCA due diligence consists mainly of undertaking necessary investigations/actions to identify/document/classify the clients within a defined timeframe in thorough compliance with FATCA regulations.

**FATCA Financial Account:** Among BBS products, a FATCA financial account is any depository or custodial account. Depository accounts include the following types of accounts regardless of whether they generate interest or not:

- Accounts of current or saving nature
- Accounts evidenced by a certificate of deposit, investment certificate or other equivalent certificate
- Any other instrument for placing money with a bank.

A custodial account is an agreement between the client and the bank, whereby the bank agrees to hold for the account of the client a financial instrument, contract or investment. *Refer to "FATCA Identification Guidelines" for the list of account categories meeting the definition of a FATCA financial account.*

**FATCA timeframe:** FATCA timeframe is the timeframe specified in FATCA regulations for the documentation/classification of clients.

- FATCA documentation for a pre-existing potential US person must be completed by 25.08.2016, whereas for a pre-existing High Value client that is Individual the period ends on 25.08.2015.
- FATCA timeframe for providing documentation following a change in circumstances is 90 days, however it is increased to 6 months for High Value clients that are individuals.

**GIIN:** The GIIN is a Global Intermediary Identification number which is a unique identifier provided to FFIs following their registration with the IRS. This number will be supplied by the registered FFIs to other Financial Institutions.

**High-Value clients**: Clients having the aggregated balance of their FATCA financial accounts exceeding USD 1 Million on 25.08.2014 (for individuals) or at the end of each subsequent year (for individuals and entities).

**Presumption rules:** Rules mentioned in FATCA regulation to be applied whenever the branch/FI cannot determine FATCA classification of a client because it was not able to obtain the necessary documentation. Presumption rules are not applicable to Individual clients, but are only related to entities.

**Recalcitrant Account Holder:** An account holder is recalcitrant if he:

- fails to provide Byblos Bank with documentation or information that is required to establish or update its "FATCA" status
- supplies false information or attempts to misrepresent himself in identifying his "FATCA" status
- fails to comply with the Bank's request to sign proper withholding and/or a waiver for Information reporting or attempt to contest or invalidate such documents

**Responsible Officer:** The responsible officer is a designated Byblos Bank Senior Officer, granted by the management a sufficient authority to complete the registration with the IRS and fulfill the requirements of the FATCA regulations and the FFI agreement, including the required duties and certifications relevant to FATCA due diligence. The responsible officer must periodically review the adequacy of the BBS's compliance program and its compliance with the FFI agreement. The certifications are subject to U.S. penalties of perjury.

**Substantial U.S. owner:** Substantial U.S. owners include any U.S. person (unless the US person is already exempted under U.S. tax laws) directly or indirectly owning:

- 10 % or more stock ownership (by vote or value) of a corporation
- 10 % or more of the profit or capital of a partnership
- 10 % or more ownership of the beneficial interests in a trust

**Taxpayer Identification Number (TIN):** The TIN is an identification number used by the Internal Revenue Service (IRS). It can be issued either by the Social Security Administration (SSA) or by the IRS.

**US Person:** Any person (individual or entity) that falls under one of the below criteria:

- A citizen of the United States: an individual born in the U.S. or in certain US territories (Puerto Rico, Guam, U.S. Virgin Islands) unless he can provide evidence of his loss or renunciation of U.S. citizenship),
- A resident of the United Sates: a "green card" holder or an individual that was present in the U.S. for more than 183 days in the last three years according to the substantial presence test,
- An individual that has been naturalized as a U.S. citizen (U.S. passport holder),
- A partnership or corporation incorporated or organized in the United States or under the law of the United States,
- An FFI that has elected to be treated as U.S. person for tax purposes,
- A U.S. estate or trust.

**Withholdable Payment:** Is defined as a certain type of income originating from within the U.S. that the client receives on periodic basis, and starting 31.12.16 the definition of withholdable payment will be expanded further to include as well the gross proceeds from the disposition of an asset that can produce interest or dividends (received periodically) originating from within the U.S. and foreign passthru.

An Income originating from within the US under a withholdable payment includes: interest, dividends, rents, pensions, annuities, compensations for personal services (such as fees and commissions), royalties, alimony, etc...

## ABBREVIATIONS

| | |
|---|---|
| **ABM** | Assistant Branch Manager |
| **AS** | Administrative Staff |
| **BBL** | Byblos Bank Lebanon |
| **BBG** | Byblos Bank Group |
| **BBS** | Byblos Bank Syria |
| **BM** | Branch Manager |
| **BRO** | Beneficial Right Owner |
| **CIF** | Customer Information File |
| **COD** | Central Operations Department |
| **EOD** | End of Day |
| **FATCA** | Foreign Account Tax Compliance Act |
| **FE** | Foreign Entity |
| **FFI** | Foreign Financial Institution |
| **GIIN** | Global Intermediary Identification Number |
| **IRS** | Internal Revenue Service |
| **NFFE** | Non Financial Foreign Entity |
| **NPFFI** | Non Participating Foreign Financial Institution |
| **OD** | Operations Division |
| **PB** | Personal Banker |
| **PFFI** | Participating Foreign Financial Institution |
| **TIN** | Taxpayer Identification Number |
| **RM** | Relationship Manager |

## I. General Principles Governing FATCA Implementation

### 1. FATCA compliance

1.1. In order to fulfill its obligations under the agreement entered with the IRS, BBS will have to allocate to each and every one of its clients a FATCA classification aiming to ultimately identify US persons, US owned Passive entities, and participating FFIs.

***NB:*** *A U.S. Owned Passive Entity is an entity with one or more substantial U.S. Owners.*

1.2. BBS must also maintain a proper on-going monitoring of any future change in client's FATCA status, in order to promptly amend the latter's FATCA classification.

1.3. For the identification and further classification of its clients, BBS will split its customer base in three different broad categories: **Individual clients, Non Financial Entities** and **Financial Institutions**. A different identification process will be implemented for each category.

1.4. The identification process will follow two distinct paths, one pertains to **Onboarding** clients and another to **pre-existing clients** (clients having FATCA Financial accounts outstanding at BBS as at 25.08.2014 for individuals and 31.12.2014 for entities). For pre-existing clients, FATCA regulation provides some relief for the identification in the form of:

a. A minimum threshold on client's aggregated balances below which BBS has the option not to perform a due-diligence (de-minimis rule)
b. Sufficient time (from 1 to 2 years) to complete the due-diligence exercise

In the case of Onboarding clients, no thresholds exclusions are allowed and identification must occur prior to opening any financial account regardless the expected balance of the account.

### 2. Clients considered as "Out of FATCA SCOPE"

Clients that do not have financial accounts will not be subject to FATCA due diligence requirements and accordingly they will be classified as "Out of FATCA scope". Once a client requests to open his first financial account, he should be treated as an Onboarding client and the identification process of Onboarding clients should be followed.

## 3. Search for US Indicia

3.1. In accordance to FATCA regulations, U.S. Indicia include the following:

| US Indicia | Individual | Entity |
|---|---|---|
| U.S. place of birth | X | |
| Designation of the client as a U.S. citizen or resident | X | |
| U.S. country of incorporation or registration | | X |
| U.S. resident address or U.S. mailing address (including a U.S. post office box) | X | X |
| U.S. telephone number | X | X |
| Standing instructions to transfer funds to an account maintained in the United States | X | X |
| Power of attorney (proxy) or signatory authority granted to a person with a U.S. address (*Legal guardians which act in a similar manner as proxy holders will be considered within this category)* | X | X |
| An "in-care-of" address or "hold mail" address that is the only address that BBS has for that particular client | X | X |

3.2. In order to identify an account held by a US Person (US individuals or US entities), BBS needs to perform an electronic search for U.S. Indicia (i.e. search of data included in client's CIF on T24) to identify any attribute indicating that the client is a potential U.S. Person.

3.3. The U.S. indicia search routine takes into consideration the CIF subject to FATCA due diligence as well as related CIFs that are linked to the account holder's CIF on T24, based on specific rules embedded in the system. Accordingly, several relations will be identified by T24 system prior to the classification:

a. Joint
b. Duplicate
c. Proxy Holder
d. Establishment
e. Signatory right
f. Guardian

3.4. If a pre-existing client or a related CIF (based on preset rules), meets minimum one of the above mentioned US Indicia then he becomes a potential US Person that will be required to provide the bank with FATCA Documentation to either prove his US status or to prove otherwise.

3.5. Any pre-existing client falling under the below criteria will be exempted from FATCA documentation requirement until a change occurs in his status (known as change in circumstances).

a. Pre-existing client that is individual or entity (excluding FI) covered by the de-minimis rule
b. Pre-existing individual client not having US Indicia and not covered by the de-minimis rule
c. Pre-existing entity not having US Indicia and not covered by the de-minimis rule (excluding regulated FI and Potential Passive NFFE)

3.6. In case a proxy holder (internal or external proxy), authorized signatory or legal guardian **has a U.S. address** (in reference to the above mentioned US indicia table), **the principal must** provide the necessary documentation to prove his FATCA status regardless of whether the proxy holder is in fact a US person or not.

## 4. FATCA Documentation

4.1. Group AML & Legal Compliance Department (BBL) will maintain a continuously updated "FATCA Identification Guidelines" that lists the needed documents to determine the FATCA classification of the client.

4.2. FATCA documentation consists mainly of the below forms that must be duly filled and signed by the client:

a. FATCA Compliance Form (for Onboarding Individuals)
b. The W-8 which is used by Non US persons to certify their non-U.S status and their applicable FATCA classification, **or**
c. The W-9 which is used by "U.S. person" mentioning his taxpayer identification number (TIN), attached to a waiver for reporting of information to the U.S. authorities

In certain cases, additional documents might be requested as prescribed in the "FATCA Identification Guidelines".
*NB: Onboarding clients that are individuals will not be required to provide W-8 form whenever the FATCA Compliance form and the system do not reveal the existence of any US Indicia.*

4.3. The validity period of documents that BBS will rely upon in the identification process is as follows:

a. Withholding certificates (W-8, or W-9 form) will remain valid until the last day of the 3rd calendar year following the year in which it was signed.
b. Documentary evidence is valid until the last day of the 3rd calendar year following the year in which the documentary evidence is provided to BBS, or until its expiration date if the documentary evidence contains an expiration date (whichever is longer). Documentary evidence that is not generally renewed or amended (such as a certificate of incorporation) will have an indefinite validity.

***NB:*** *For further information, refer to FATCA Identification Guidelines*

4.4. BBS branches have the obligation to validate the correctness and the reliability of the provided FATCA documentation by ensuring that the information included in the FATCA Compliance form and the withholding certificate (W-8 or W-9 form) does not contradict with other information included in client's documents or CIF. As well, client's signature must be authenticated by the concerned PB/RM (FI BBL) on each signed document before being retained by BBS. For regulated FIs, the Compliance Unit BBS & FI department (BBL) will be held liable for ensuring the correctness and reliability of the provided FATCA documentation.

4.5. FATCA documentation is retained within the original account opening file.

4.6. FATCA documentation should be scanned and recorded on T24 then inputted on FATCA page under client's CIF. Every document record will include the name of the document, date of receipt, expiry date, etc...

4.7. Withholding certificates (W-8, W-9), and waiver for reporting of information must be collected and retained by BBS in original copies whereas other documents can be collected in photocopies or certified copies (*Refer to FATCA Identification Guidelines).* For documents to be retained in photocopies, the original documents need to be verified, and copies must be stamped "Original seen" (نظر الأصل من قبلنا), dated and signed by the concerned PB and the ABM or by T&P Officer at Operations BBS (in case of regulated FI) prior to filing in client's account opening file.

***NB:*** *In case the documents pertaining to regulated FI were received by FI (BBL), then client's signature must be verified by two RMs at FI department*.

4.8. If an entity provides among the requested documents a W-8 form indicating that the entity is "Passive NFFE", an update for shareholders information (in the KYC) must be undertaken on T24 in accordance to the information stipulated in the W-8 form, before proceeding with FATCA classification.

4.9. If the client refuses/fails to provide the requested documents:

a. **For Onboarding clients:** BBS will abstain from creating the CIF or from opening financial accounts, thus all the accounts opened for Onboarding clients will be FATCA compliant.
b. **For pre-existing clients:** upon reaching the preset timeframe, the client will be classified as recalcitrant account holder/non participating Financial Institution and consequently requested to close all his FATCA financial accounts.

## 5. Classification

5.1. Every CIF held by Byblos bank Syria must be adequately classified. The classification on FATCA Module T24 will be conducted in 2 manners:

a. **Automatic classification** triggered by system for pre-existing clients based on predefined criteria (*further detailed in the following sections*)
b. **Manual classification** selected by PB/Operations Coordinator (OD) upon conducting and completing FATCA due diligence

5.2. In case of manual classification and upon identification of U.S indicia, client's CIF will be routed to Compliance unit BBS for the verification of FATCA documentation and authorization of CIF's classification.

5.3. The classification process on T24 triggers several routines embedded in T24 to control the accuracy of the selected classification versus the provided documentation, US Indicia search result, flags status, etc…

## II. Identification of Onboarding clients

### A. Identification of Onboarding Individual clients

Onboarding clients will be requested to declare their FATCA status prior to the creation of their CIF or to the opening of their first financial account, through filling a FATCA Compliance Form.

1. Onboarding Individual client, means:
    a. Any Individual client that is opening a new CIF (with banking relation) after August 25, 2014

    **or**

    b. Any Individual client that is opening his first financial account after August 25, 2014

2. FATCA compliance form is to be filled and signed by each individual client prior to the creation of any private/joint/collective CIF. As well, a separate FATCA Compliance form must be signed by each party having an interest in the CIF opening request (each applicant in a joint CIF opening request, holder(s) of a proxy on behalf of the applicant, legal guardian(s) of a minor applicant…). Only guarantors will not be requested to sign the FATCA Compliance form.

3. Client must provide the appropriate documentation (as listed on the FATCA Compliance Form) whenever the form or any other client's document held in his file(s) reveals the existence of US indicia. Therefore, Individual clients that do not have US Indicia will not be requested to provide any FATCA documentation.

4. Even if client passed the US indicia test on FATCA Compliance Form, the newly created CIF will be subject again to a system search for US indicia before final authorization. In case of mismatch between US Indicia search result on FATCA Compliance form and T24 system, client will have to justify such mismatch and provide new FATCA documentation to declare his FATCA status.

5. In case the CIF creation or the opening of first financial account has been postponed or stopped for incomplete documentation or any other reason, FATCA compliance form will become obsolete after 10 days. Bypassing this period, client will be requested to fill in and sign a new form before re-launching the account opening process. FATCA compliance forms pertaining to postponed account opening will be filed in a dedicated folder at the branch in a fireproof cabinet. Once the form is obsolete, it can be sent for shredding.

6. A CIF pertaining to an Individual Establishment is created on T24 system as a private CIF (i.e. not as a company) given that it is considered as the CIF of the owner and therefore it will treated in the same manner as Individual client.

7. BBS shall endeavor to always identify the ultimate beneficial owner of an account. Should the bank identifies a BRO different from the account holder, PB will abstain from opening the account and request the physical presence of the BRO to open a CIF in his name.

8. In specific cases, where there is an exceptional need to establish a relationship with a client, and where the BRO is not present, such information about the BRO will be inputted on the CIF of the customer establishing the relationship on behalf of the BRO and in the fields designated for such purpose. Accordingly, the following must be adequately performed:

    a. PB will obtain the approval of the Compliance Unit BBS before proceeding with the creation of account holder's CIF

    b. PB will ask the account holder to fill in an additional FATCA Compliance Form on behalf of the BRO. If the form contains any US indicia, the account opening process will be refrained and the BRO will be invited to visit the branch and open an account in his personal name.

9. At the end of the identification process, Onboarding clients that are individuals will be classified as one of the following:

| CIF classification |
|---|
| **US Person (Individual)** |
| **Non US Person (Individual)** |

10. In case the account opening process is being triggered outside branch premises (Representative Office or overseas Subsidiary), the RM handling the account opening process is held responsible for conducting preliminary FATCA due diligence and collecting FATCA Compliance Form (and other documents as instructed on the form) prior to sending the related documents to BBS branch. Yet the PB, AS and ABM of the booking branch are the ultimate responsible party for conducting final due-diligence and classification as per normal Onboarding process.

## B. Identification of Onboarding Entities:

Unlike the case of Individual clients, the identification process for entities requires a more in-depth due diligence by looking into the activity of each non U.S. entity in order to determine its exact FATCA classification.

### 1. Overview of entities types

1.1. In the case of entities, FATCA regulation permits to rely on a self-certification from the client to define his FATCA classification (self-certification occurs when the client declares under penalties of perjury his FATCA classification on the W-8 form or W-9 form).

Nevertheless, BBS will have to ensure that there is no discrepancies (in information) between client's documents collected during the account opening process and the provided FATCA documents, including a search for any US indicia.

1.2. Onboarding client that is an entity, means:

a. Any entity that is opening a new CIF (with banking relation) after December 31, 2014

**or**

b. Any entity that is opening its first financial account after December 31, 2014

1.3. Entities that are "Under Establishment" will be subject to FATCA due diligence twice:

a. Upon creation of CIF on T24, whereby the Incorporators will have to provide & sign FATCA documentation prior to CIF creation

b. Upon official registration of the company and the release of the Capital (i.e. customer status code = 1). The new authorized signatories will have to provide & sign new FATCA documentation based on the updated information

1.4. For an adequate FATCA due diligence, BBS must first identify the type of the entity:

a. Financial Institution
b. Non Financial Entity
c. Exempt beneficial owner

## 2. Financial Institutions

2.1. Financial Institutions are to be segregated into two categories: Regulated FIs and Non-Regulated FIs. Any entity that is licensed by the Central Bank of Syria or any other Central bank (case of correspondent bank) will directly meet the definition of a Regulated Financial Institution. *For further information about the definition of Financial Institution refer to FATCA Identification Guidelines.*

2.2. The files pertaining to regulated FIs are handled by the Operations department BBS and verified by Compliance Unit BBS in coordination with FI department BBL. Before the creation of the Regulated FI's CIF and regardless of the type of account that will be subsequently opened under the new CIF, Compliance Unit BBS must:

a. Ensure that the Onboarding client provides a duly signed "W-9 form + waiver for reporting of information" or a "W-8 form", including a GIIN (if required). The GIIN must be verified on the IRS website (matching both name and GIIN), otherwise the process of account opening will be stopped (refer to FATCA Identification guidelines for further instructions on documentations)
b. Determine the nationality of the Regulated FI according to FI's organizational documents and/or certificate of incorporation
c. Confirm FATCA classification of the Regulated FI provided on the self-certification (W8/W9) upon validating the provided FATCA documentation

2.3. The files pertaining to Non Regulated FIs are treated and managed by BBS branches. Accordingly, the above described due diligence will be handled by the branch whose responsibility is to obtain FATCA documentation (W-8 or W-9 form + waiver for the reporting of information) duly filled and signed by client as well as client's GIIN (if required). *Refer to the FATCA Identification Guidelines for further instructions on documentations.*

2.4. BBS will rely on the self-certification of the FI for determining its FATCA classification. Therefore, the party who is undertaking the due diligence must verify the adequacy of the information provided on the Certification form (W-8/W-9) against the provided documentation for account opening.

2.5. At the end of the documentation process, CIFs of Financial Institutions will be manually classified under one of the following classifications:

| CIF classification |
|---|
| **US Person (Entity)** |
| **Participating FFI** |
| **Registered deemed-compliant FFI** |
| **Reporting Model 1 FFI** |
| **Reporting Model 2 FFI** |
| **Non-registering local banks** |
| **FFI with only low-value accounts** |
| **Limited life debt investment entities** |
| **Investment advisors and investment managers** |
| **Sponsored closely-held investment vehicles** |
| **Restricted distributor** |
| **Non-reporting IGA FFI** |
| **Territory financial institution** |
| **Sponsored FFI that has not obtained a GIIN** |

***NB:*** *For more details concerning each type of Financial Institution, refer to "FATCA Identification Guidelines".*

## 3. Non Financial Entities

3.1. BBS must distinguish among its clients' base, the Non Financial Entities, that are incorporated in U.S. (US person entity) from ones that are incorporated outside the U.S. (NFFE).

3.2. A Non Financial Foreign Entity can be an "Excepted NFFE", an "Active NFFE" or a "Passive NFFE". *For further information on each category, refer to FATCA Identification guidelines.*

3.3. Before the creation of a Non Financial Entity's CIF or before opening the first financial account, PB at Branch level must:

a. Ask authorized signatory (ies) to provide the bank a (W-8) or (W-9 form + waiver for reporting of information), by which the entity certifies its FATCA status according to its type of business.
b. Verify the entity's claim in W-8 or W-9 form against the entity's organizational documents and/or certificate of incorporation
c. Request additional FATCA documentation as per entity type (*refer to FATCA Identification Guidelines for further information)*

3.4. In case the Account Opening process is being triggered by an RM (Commercial Division/ Overseas Subsidiaries), the latter is deemed responsible for conducting FATCA due diligence, identifying the existence of U.S indicia manually from client's ordinary documents collected upon account opening and requiring the appropriate documentation to be provided. Yet final due diligence remains the responsibility of the PB, AS, ABM at the booking branch.

3.5. In case of Passive NFFE, an additional due diligence is needed to identify the citizenship/place of creation/residence of the related owners. Accordingly, the entity has to duly fill the Owner Certification section in the W-8 form. BBS must validate the Owner Certification through a search of US indicia in the available documentation and CIF pertaining to the substantial U.S. owners (including an electronic search to identify substantial US owners).

***NB:*** *The ownership values of any related parties (brothers, sisters, spouse, parents, grandparents and descendants) must be aggregated in order to determine if a person is a substantial US Owner.*

3.6. Following client's response (self-certification) on the W-8 or W-9 form and upon completing entity's FATCA documentation process, a Non Financial Institution can have one of the following classifications:

| CIF classification |
|---|
| **US Person (Entity)** |
| **Nonfinancial group entities** |
| **Excepted nonfinancial start-up companies** |
| **Excepted nonfinancial entities in liquidation or bankruptcy** |
| **Excepted inter-affiliate FFI** |
| **501(c) organizations** |
| **Non-profit organizations** |
| **Publicly traded NFFE** |

| |
|---|
| **NFFE affiliate of a publicly traded corporation** |
| **Excepted territory NFFEs** |
| **Direct Reporting NFFE** |
| **Sponsored Direct reporting NFFE** |
| **Active NFFE** |
| **U.S Owned Passive NFFE** |
| **Non U.S Owned Passive NFFE** |

***NB:*** *For more details concerning each type of Non Financial Entity, refer to "FATCA Identification Guidelines".*

### 4. Exempt Beneficial Owner

The Identification process of an Exempt Beneficial Owner is similar to the one pertaining to NFFEs. Any entity falling under this category will have one of the following classifications:

| CIF classification |
|---|
| **Foreign governments, government of U.S. possession, international organizations, and foreign central bank** |
| **Retirement funds** |
| **Entities wholly owned by exempt beneficial owners** |

***NB:*** *For more details on Exempt Beneficial Owners, refer to "FATCA Identification Guidelines".*

## III. Identification of pre-existing clients:

BBS must complete the identification and documentation procedures for pre-existing High Value clients that are individuals by 25.08.2015 and for all other pre-existing clients by 25.08.2016. Clients that fail to provide adequate documentation before the specified periods will be treated and classified as "Recalcitrant Account Holder" or as "Non Participating Financial Institution".

### 1. Data extraction

1.1. Pre-existing client means any:

a. Individual client that has a FATCA Financial account as at August 25, 2014
b. Entity that has a FATCA financial account as at December 31, 2014

1.2. The identification of preexisting clients (individual/ entity) will be triggered by the Compliance Unit BBS on:

a. August 26, 2014 based on August 25, 2014 data for individual clients
b. January 02 2015 based on December 31 , 2014 data for entities

1.3. The identification will be conducted via an **electronic search** over preexisting CIFs, and it will take into consideration:

a. The type of the CIF (private or joint or company)
b. The industry code of the CIF (in case of an entity)
c. The US Indicia fields in clients' CIF (s)
d. The banking relation field (yes or no)
e. The aggregation rule to determine High value and De-minimis thresholds
f. The type of financial accounts
g. Related CIFs
h. CIF/customer's status (deceased, closed)

*1.4.* The aggregation rules under FATCA take into account CIFs that are related to the same client and linked on the system (e.g. through "Relation code" field).

***NB:*** *To note that aggregation of balances is conducted on 25.08.14 and at the end of each subsequent year.*

1.5. For joint accounts, FATCA regulation specifies that each joint account holder is treated as owning the entire balance of the account as if there was only one party in the joint account, (i.e. each joint account holder is attributed the entire amount of the account value). If client has both a private and a joint CIF, the balance of FATCA financial accounts under client's private CIF will be aggregated with the entire balance of the FATCA Financial accounts under the joint CIF *(refer to FATCA Identification guidelines for details about the Aggregation rules).*

***NB****: Collective accounts (and) will be treated in the same manner as Joint accounts (and-or) in accordance to FATCA regulation.*

1.6. In case 2 CIFs exists for an establishment, (one in the name of the owner and second in the name of the Establishment). These two CIFs must be linked on the system by a dedicated relation code enabling the bank to identify them as one client. Accordingly, both CIFs are subject to the aggregation rules under FATCA.

1.7. Following the US Indicia search routine, the data extraction will enable T24 system to classify automatically CIFs that have specific criteria (conditions, flags, etc…):

| FATCA classification/flag | Description |
|---|---|
| **Non Us person (Individual)** | - Individual client, covered by De-minimis rule.<br>- Individual client with no US Indicia |
| **Non US Person (Entity)** | Entity covered by De-minimis rule. |
| **Active NFFE** | Entity with no US Indicia and its Industry code is "active" |
| **Exempt Beneficial owner** | Entity with no US Indicia and its Industry code is "exempted" |
| **Potential US Person (Individual)** | - Individual client with US Indicia, not covered by de-minims rule |
| **Potential US Person (Entity)** | Entity with US Indicia, not covered by de-minimis rule |
| **Foreign Financial Institution** | Entity with no US Indicia and its Industry code is within FI standard industrial codes |
| **Potential Passive NFFE** | Entity with no US Indicia, not covered by de-minimis rule and having an industry code other than Active, Exempted or FI |
| **Out of FATCA scope** | Client (individual/entity) not having any financial accounts |

***NB:*** *Industry codes are listed in "FATCA Identification Guidelines" and embedded within T24*.

1.8. Upon system classification, Compliance Unit BBS will extract from T24 the below lists to be dispatched via email to:

a. BBS Branches
   - The list of Potential US Persons (individuals), characterized by pre-existing individual clients meeting minimum one US Indicia and not covered by De-minimis RuleThe list of pre-existing Potential US Persons (entities) and Potential Passive NFFEs

b. Operations Department (BBS)
   - The list of all regulated FIs identified from their Industry code, per country

1.9. Following the extraction, Compliance Unit BBS will specify in the email the preset timeframe to process FATCA Documentation.

## IV. Notification Process

### 1. Notification of clients (excluding regulated FI)

1.1. Upon receipt of the lists from Compliance Unit BBS, PB will launch the FATCA documentation process by contacting and asking Potential US persons (individual & entities)/Potential Passive NFFEs to visit the branch in order to clarify their FATCA status. PB will record the date and time of the contact on FATCA Follow-up page.

1.2. Four months prior to reaching FATCA timeframe (refer to glossary), Compliance Unit will re-extract from T24 the lists of CIFs that are still classified as "Potential US persons/Potential Passive NFFE" and submits them to BM/ABM of BBS branches for processing of client's notification. A friendly notice addressed to clients under FATCA due diligence will be generated from T24 by the PB/AS and signed by two authorized signatories (A+B signatures). The friendly notice invites the client to visit his branch in order to clarify his FATCA status and if needed to supplement BBS with further documentation and to sign required forms.

1.3. Two months before reaching FATCA timeframe and if the client is still not compliant with the regulations requirements, PB/AS will generate from T24 a **warning letter** that will be signed by two authorized signatories (A+B signatures). The warning letter informs the client that the bank has decided to close his accounts at the end of a specific period of time (notification timeframe) due to FATCA reasons, and invites the latter to withdraw his balance.

1.4. The friendly notices and the warning letters will be dispatched through the Notary Public to specified client's home/Work Address.

***NB:*** *Work address will only be used if the home address is not available*

1.5. The notices/notifications letters must be recorded on FATCA follow-up page by the PB/AS upon dispatching and adequately updated by the latter upon receipt of complete documentation or upon receiving the acknowledgment of receipt. Copies of acknowledgment of receipt of the notices/warning letters should be kept in a special file at the branch.

1.6. In case of Joint/collective account, a separate notice/warning will be generated for each one of the account holders.

### 2. Notification of Regulated FIs:

2.1. Notification of Regulated FIs is handled by the Operations department BBS . Upon receipt of the lists from the Compliance Unit BBS , a friendly notice will be submitted to the Regulated FI via a swift message by the Swift Administration unit. The swift text includes the list of required documents needed to confirm client's FATCA classification (including GIIN).

2.2. Two months before reaching FATCA timeframe (refer to glossary), and if the regulated FI is still not compliant with the regulations requirements, Compliance Unit BBS will request from Operations BBS (T&P Unit) to submit a warning through swift message informing

the regulated FI that the bank has decided to close its accounts at the end of a specific period of time (warning timeframe) due to FATCA reasons.

2.3. Upon submission of the swift messages, Operations BBS will inform the FI department(BBL) and Compliance Unit BBS accordingly.

2.4. Swift notifications must be recorded on FATCA excel register maintained by the Operations BBS and controlled by the Compliance Unit BBS. This register must be adequately updated upon receipt of complete documentation.

## 3. Follow-up on the notification process

3.1. Within the first six months of the due diligence process (starting 26.08.2014), Compliance Unit BBS will extract on monthly basis the list of CIFs that are still not classified, to be dispatched to branches/Operations department BBS, reminding them of the remaining CIFs that need to be treated. Branches/Operations BBS must respond to the provided lists clarifying for each CIF the reason of delay in conducting the appropriate FATCA due diligence (documentation/classification).

3.2. Starting 01.01.2015, Compliance Unit BBS will keep track of the progress by extracting on quarterly basis the list of CIFs that still not classified, and will escalate the progress issues to the AML Committee.

3.3. On monthly basis, BM/ABM at branches and Head of operations (BBS) will follow-up with their clients on the receipt of required documents by identifying the clients that are notified and still not documented from FATCA electronic/Excel register.

## 4. Classification following FATCA due diligence

If the client provides BBS the appropriate and valid documentation within FATCA timeframe, his CIF will be manually classified as one of the following FATCA classifications:

| FATCA classification for pre-existent clients |
|---|
| **US Person (individual)** |
| **Non US Person (individual)** |
| **US Person (entity)** |
| **Participating FFI** |
| **Registered deemed-compliant FFI** |
| **Reporting Model 1 FFI** |
| **Reporting Model 2 FFI** |
| **Non-registering local banks** |
| **FFI with only low-value accounts** |
| **Limited life debt investment companies** |

| |
|---|
| **Sponsored closely-held investment vehicles** |
| **Restricted distributor** |
| **Non-reporting IGA FFI** |
| **Territory financial institution** |
| **Foreign governments, government of U.S. possession, international organizations, and** |
| **Exempt retirement plans** |
| **Entities wholly owned by exempt beneficial owners** |
| **Nonfinancial group entities** |
| **Excepted nonfinancial start-up companies** |
| **Excepted nonfinancial entities in liquidation or bankruptcy** |
| **Excepted inter-affiliate FFI** |
| **501(c) organizations** |
| **Non-profit organizations** |
| **Publicly traded NFFE** |
| **NFFE affiliate of a publicly traded corporation** |
| **Excepted territory NFFEs** |
| **Direct Reporting NFFE** |
| **Sponsored Direct reporting NFFE** |
| **Active NFFE** |
| **U.S Owned Passive NFFE** |
| **Non U.S Owned Passive NFFE** |
| **Sponsored FFI that has not obtained a GIIN** |

## 5. Recalcitrant clients

5.1. Whenever a client refuses to cooperate with BBS by providing the appropriate documentation or to close all related FATCA Financial Accounts, the latter is deemed recalcitrant.

5.2. Upon identification of recalcitrant client, Compliance Unit BBS will request from branches/Operations department BBS to classify the client as recalcitrant/NPFFI.

a. ABM/Operations BBS will ask the PB or the Operations Coordinator BBL to manually classify the clients' CIF (s) as "**Recalcitrant Account Holder"** or **"Non**

**Participating FFI".** The manual classification will be subject to BM/ABM/Head of COD and Compliance Unit BBS authorizations.

b. In case of an entity, PB/Operations department BBS must apply the presumption rules before proceeding with the manual classification. This step is deemed necessary to identify recalcitrant accounts holders and Non Participating Foreign Financial Institutions. *For further information refer to FATCA Identification Guidelines.*

5.3. Upon reaching the end of the FATCA timeframe to collect FATCA documentation, a classification of clients' CIF(s) as Recalcitrant Account Holder or Non Participating FFI is automatically triggered by T24 for individuals & entities. *Refer to "FATCA Identification Guideline" regarding the category of clients that can be subject to a Recalcitrant classification.*

5.4. In case a client that is under FATCA due diligence approaches the bank and requests the closure of his FATCA financial accounts prior to the end of FATCA timeframe, his CIF will be classified as "Recalcitrant Account Holder" before proceeding with the closure.

5.5. The classification of client's CIF as Recalcitrant Account Holder or NPFFI will automatically generate the flagging of related FATCA Financial accounts as **Post no credit** restriction**.** As a result, recalcitrant clients can no longer credit their FATCA Financial Accounts with incoming transfers, cash, or checks, etc… and can no longer open new FATCA Financial accounts.

## V. Change in Circumstances

1. Client's classification will be valid until a change in circumstances in client's status occurs.
2. Change in circumstances means any change or addition of information affecting the current FATCA classification of the client (individual or entity), the change could be identified if at least one of the following cases occurs:
    a. Any change in CIF information triggered by CIF amendment affecting the US Indicia fields in addition to fields (Account beneficial owner, proxy holders, signatory rights, Industry code, GIIN number and passive entities ownership) in the CIF
    b. Change of the aggregated balance for accounts no longer covered by De-minimis rule and reaching USD 1M or above Expiry date of provided documentation
    c. Receipt of a notice from the IRS to correct client's name, TIN,…
3. In case the change of circumstances is triggered by CIF amendment, an authorization will be required from Compliance Unit BBS.
4. In case of receiving a notice from IRS to correct client's information, Compliance Unit BBS will send an email to the concerned branch in order to proceed. The notice will be recorded by the PB on FATCA Module through a dedicated field.
5. The CIF subject to change in circumstances will be flagged accordingly. Client will have only a FATCA timeframe of 90 days following the change in circumstances to provide new FATCA

documentation otherwise he will become recalcitrant. However, individual clients having their aggregated balance reaching USD 1 Million, will benefit from a period of 6 months during which the CIF will be classified as "Withholdable client", with a post no credit restriction. At the end of these periods, clients that fail to provide required FATCA documents, will have their CIFs classified as "Recalcitrant account holder" or "NPFFI".

a. The change in circumstances process will be triggered by the Compliance Unit BBS upon extracting on weekly basis the list of CIFs flagged "change in circumstance" or by the branch upon identification of a change in circumstances during client information update. Branch will submit promptly a notice to the client asking the later for clarification on his FATCA status. The notices pertaining to branch's clients are submitted to the client through Notary Public, whereas the notices pertaining to regulated FIs are dispatched through swift message by the Swift Administration Section. Compliance Unit BBS will follow-up weekly with branches on reception of documents.

b. Two months prior to FATCA timeframe, clients that have failed to respond to the notice will be submitted a warning for the account closure.

c. The handling of the notices/warnings will be in the same manner as paragraph IV. 1 and IV.2.

6. For CIFs having a BRO different than the account holder, and in case the BRO address has been changed to a US address, it will be considered as a change in circumstances and a new CIF must be opened for the BRO during the 90 days timeframe related to the change in circumstances process. If by the end of the 90 days, the account holder and the BRO did not comply with the BBS's request, the account holder will be requested to close his account.

7. As stipulated in the account opening terms and conditions, clients will be held obliged to inform Byblos Bank of any change in circumstances affecting their FATCA classification under FATCA within 30 days of its occurrence.

8. Whenever PB/RM (FI BBL) becomes aware of a change in client's status (Change in circumstances) such as a change in customer's information leading to a discrepancy with his initial provided documentation, PB must update client's information on the system accordingly and request new FATCA documentation to confirm his new FATCA status. For regulated FIs the information update (If necessary) will be conducted by the Operations Coordinator at OD.

## VI. Controlling reports

To ensure that BBS is compliant with FATCA regulations as per FFI agreement with IRS, Compliance Unit BBS must ensure follow-up on:

*On Monthly basis:*

a. Client identification progress by extracting from T24 the list of preexistent clients with their classification status

b. Client's documentation requesting from branches and FI department a progress report on the requested documents and their progress status
c. FFI Status by extracting FFI classification and GIIN from T24 and control it against information on IRS website

*On weekly basis:*

d. Change in circumstances affecting FATCA status by extracting the list of CIFs marked as "Change in Circumstances"
e. Potential recalcitrant accounts by extracting from T24 a report of accounts that will become shortly recalcitrant within 1 month
f. Forced closure progress by extracting the list of recalcitrant CIFs with related accounts that need to be closed and the list of FATCA closed accounts

# A4 - ROLES AND RESPONSIBILITIES

## I. Responsible Officer

1. Reviews periodically the compliance of BBS with the requirements of the FFI Agreement, as well as the adequacy of established compliance program throughout each certification period as stipulated in FATCA Regulations.
2. Undertakes the certification of the diligence review for pre-existing accounts, as well as ongoing periodic certifications of the verification requirements in accordance to the dates stipulated in FATCA regulations
3. Establishes and maintains a suitable compliance program with effective controls to ensure the complete abidance of the procedure.

***NB:*** *The role & responsibilities of the Responsible Officer will be further elaborated when tackling the reporting/withholding procedure(s).*

## II. Personal Banker

1. Creates/amends on T24 the CIF for Individual clients, non regulated Financial Institutions and non Financial entities.
2. Detects if Onboarding client (individual/ non financial entity/ non regulated financial institutions) has any US Indicia.
3. Requests Individual client to fill and sign FATCA Compliance Form prior to proceeding with CIF creation.
4. Requests from client to fill and sign a new FATCA Compliance form whenever the previous one related to postponed account opening is obsolete.
5. Contacts the client and asks him to visit the branch in order to provide necessary information proving his FATCA status.
6. Processes the FATCA Documentation of Onboarding/pre-existing clients to identify client's classification.
7. Ensures that all needed documents are obtained within defined timeframe.
8. Controls the correctness and reliability of the provided documents and records/scans them on T24.
9. Conducts FATCA due diligence for BRO(s) and substantial owners holding more than 10% ownership upon their Identification.
10. Processes the Presumption Rules to identify FATCA classification of undocumented entities, whenever the client couldn't provide the needed documentation on time.
11. Executes the manual classification of Recalcitrant clients whenever the client refuses to cooperate with BBS by providing the appropriate documentation.
12. Ensures that provided documentation is properly filed within the account opening files.
13. Follows-up on client documentation following a change in circumstances.
14. Follows-up on client documentation following the expiry of provided documents (if any).

15. Abstains from opening a CIF or FATCA financial accounts for non cooperating clients.
16. Ensures along with ABM the availability and validity of GIIN number of unregulated FFIs on the IRS website.
17. Abstain from helping clients evading their FATCA obligations.
18. Updates FATCA follow-up page upon client's contact, notification, receipt of required documents.
19. Handles AS tasks in branches where AS profile does not exist.

## III. Administrative Staff

1. Generates the appropriate notices for Potential US Persons/Potential Passive NFFEs advising them to visit the branch in order to clarify their FATCA status.
2. Generates a warning Letter for undocumented clients that have not responded to the friendly notice.
3. Dispatches original notices/warning letters to client address via the Notary Public and keeps a copy of it in a dedicated manual folder for future reference.
4. Updates FATCA follow-up page upon client's contact, notification, receipt of required documents.
5. Retains acknowledgment of receipt of the warning letter in a special file.

## IV. BM/ABM

1. Abstains from receiving any instructions from the onboarding client or initiating any engagement towards the latter, before completing FATCA due diligence process (i.e. before classification of CIF).
2. Authorizes on T24 the CIF creation/ amendment for individual clients, non regulated Financial Institutions and non Financial entities.
3. Authorizes the input & amendment of client's information on FATCA Module T24.
4. Ensures the accuracy and validity of provided documentation before authorizing the creation/amendment of an onboarding client/pre-existent client and the classification of the CIF.
5. Checks and validates the GIIN number of unregulated FFI's on the IRS website.
6. Assures that a separate FATCA Compliance form is signed on behalf of the BRO, in case the latter is different than the account holder.
7. Explains to the client/ authorized signatory the consequences of becoming recalcitrant (withholding and account closure).
8. Acknowledges to Compliance Unit BBS the receipt of lists related to FATCA due diligence.
9. Authorizes the manual classification of recalcitrant Client on T24
10. Verifies and signs the appropriate notices/warning letters.
11. Authorizes on T24 the closure of FATCA Financial accounts.
12. Escalates to Compliance Unit BBS issues related to client's Identification/classification/notification.
13. Ensures the proper update of FATCA follow-up page.

## V. Operations Department (BBS)

***The tasks assigned to Operations Department BBS are currently undertaken by the T&P Unit BBS.***

1. Verifies on IRS Website the validity of GIIN number of a Non US regulated financial Institutions.
2. Ensures that FATCA documentation is obtained and ensures its correctness and reliability.
3. Forwards the documentation to Operations Coordinator -OD BBL for proper creation/ amendment of regulated Financial Institution's CIF.
4. Submits to Operations Coordinator – OD BBL, the classification of the regulated FI following the review of Compliance BBS and FI department BBL.
5. Handles the notification of regulated FI through submitting swift messages requesting the needed FATCA documentation or the closure of FATCA account.
6. Records the Swift notifications on FATCA excel register and updates it accordingly.
7. Undertakes the necessary investigations to identify the banking relation of the non-cooperative regulated FI.

## VI. Compliance Unit (BBS)

1. Ensures when necessary the completeness, correctness and validity of the documents provided by Individuals/Non-Financial Entities/FIs, based on FATCA Identification Guidelines.
2. Authorizes when necessary the classification of client's CIF (individual/entity) on T24.
3. Verifies on T24 entity's CIF, accounts flagging and situation before authorizing the classification of an entity based on presumption rules.
4. Triggers the process of identifying pre-existing clients by extracting from T24 the list of potential US Persons/Potential Passive NFFE/ High-Value clients.
5. Triggers the process of identifying pre-existing clients after change in circumstances by extracting from T24 and dispatching to branches the list of CIFs with expired documents, list of CIFs subject to change in circumstances.
6. Triggers the process of identifying pre-existing regulated Financial Institutions by extracting from T24 and dispatching to Operations BBS the list of preexistent regulated FIs.
7. Identifies in coordination with FI BBL the classification of the Regulated FI and sends it by email to the Operations BBS for processing.
8. Processes the Presumption rules to identify the classification of a regulated Financial Institutions whenever the latter couldn't provide the needed documentation on time.
9. Follows up regularly with BBS branches and Operations BBS on the notification process.

## VII. Operations Coordinator - OD (BBL)

1. Creates/amends on T24 the CIF of regulated FI upon receipt of FI department's request (email).
2. Inputs the classification for regulated FI as instructed by operations BBS .
3. Proceeds with the opening/closure of financial accounts upon receipt of Instruction from Operations BBS.
4. Investigates the reason of mismatch whenever T24 system generates an error message, and asks Operations BBS (cc: FI department BBL) to request new documents (if needed).

## VIII. Head of OD/Head of COD/Head of TF (BBL)

1. Authorizes the creation, amendment and closure of Regulated FIs CIF.
2. Authorizes the manual classification of regulated FI's CIF on T24.

## IX. FI (BBL)

1. Reviews the Regulated FIs' provided documents, the GIIN Number on IRS website along with the purpose of the account opening and approves/ declines the CIF creation and opening of account.
2. Coordinate with Compliance BBS for the identification of regulated FI's classification.

# A5 - FLOWCHARTS

FATCA 1: Customer Information File (CIF) creation

FATCA 2: Customer Information File creation with no banking relation

FATCA 3: Customer Information File (CIF) Amendment

FATCA 4: Customer Information File (CIF) creation for Regulated FI

FATCA 5: Follow-up on High-Value clients/Enhanced Review

FATCA 6: Change in circumstances related to Individual/ Non Financial Entity/Non Regulated FI

FATCA 7: Change in circumstances related to Regulated Financial Institutions

FATCA 8: Electronic review of pre-existing clients

FATCA 9: Notification and documentation of Potential US Persons (Individual/NFE/Non Regulated FI)

FATCA 10: Final Notification for providing requested documents

FATCA 11: Notification and documentation of pre-existing Regulated FIs

# A6 - NARRATIVE

## FATCA 1: Customer Information File (CIF) creation

| No | Actor | Task |
|---|---|---|
| 1 | PB | ***Initiation of a new relation with an individual client***<br><br>New client wants to open an account with BBS **or** existing customer wants to open his first financial account,<br><br>a. Case of unfavorable information **or** client owns a CIF at another branch:<br>▪ End of process<br><br>b. Else:<br>▪ Introduces client to BM/ABM and obtains the latter's approval on the account opening following an adequate due diligence<br>i. If client is a Moral entity:<br>▪ Asks the authorized signatories for their personal and company documents as per Appendixes - PS 01 procedure<br>ii. If individual client:<br>▪ Asks the customer for his/her identity card and for required documents as per Appendixes – PS 01 procedure<br>▪ Asks client to fill in and sign FATCA Compliance form (1)<br><br>***NB:*** *Onboarding client is any individual opening a new CIF (or first financial account) starting 25.08.14 or any entity opening a new CIF (or first financial account) starting 31.12.14.*<br>*(1) In case the Beneficial Right Owner of the account differs from the principle, then the account holder must sign an additional FATCA compliance form for the BRO. If the form indicates the existence of US Indicia, PB will abstain from opening the account and will request the physical presence of the BRO in order to open the account in his personal name.* |
| | PB | Following documents review,<br><br>a. Case of Individual client with no US Indicia found:<br>▪ Go to process nb.2<br><br>b. Else:<br>▪ Asks the customer to provide the needed documentation to identify FATCA classification (W8 **or** W9 + waiver) (2)<br>▪ Makes sure that provided documents are correct and reliable, otherwise requests from client to provide correct documents and stops |

| | | |
|---|---|---|
| | | the account opening process |
| **2** | **PB** | ▪ Photocopies client's identification documents and stamps them "Original seen"<br><br>a. <u>In case of foreign client:</u><br>▪ Fills in "Customer acceptance clearance form" and submits it by email cc BM/ABM to Compliance Unit BBS for their clearance<br><br>*Upon Compliance clearance,*<br><br>▪ Continue as per point b<br><br>b. <u>Else:</u><br>▪ Go to process nb.3 |
| **3** | **PB** | ***CIF creation***<br><br>a. <u>Case of new CIF:</u><br>▪ Creates the CIF on T24 by inputting the appropriate information [(3)]<br><br>b. <u>Case of existing CIF:</u><br>▪ Makes sure that banking relation is flagged "yes", otherwise amends it manually<br>▪ Updates customer's information on T24<br><br>▪ Obtains the main customer(s)'s signature on 2 specimens of signature<br><br>***<u>NB:</u>***<br><br>*(2) In case the provided W8 for an entity indicates that client is a Passive NFFE, PB will make sure that the "Owner Certification" section in the provided W8 form is adequately filled to determine if the entity is owned by US persons or not.*<br><br>*(3) In case of opening a joint CIF (and, and/or), PB will make sure that each individual (account holder) holds a private CIF in his name duly updated. Otherwise, he will proceed with the opening of those private CIFs before creating the joint one. In case of an entity, a CIF should also be created for each authorized signatory and each shareholder owning more than 10% of company's shares then linked to entity's CIF.* |
| | **BM/ABM** | ▪ Controls the correctness and reliability of FATCA documentation (including FATCA Compliance form if any) and ensures the validity of GIIN on the IRS website<br>▪ Controls the details mentioned on the specimen of signature concerning the signatories and signs the specimens of signatures<br>▪ Ensures that PB collected the stamp duty fees (if required)<br>▪ Checks the accuracy of the information inputted in the system against the documents submitted by the client |

| | | |
|---|---|---|
| | | a. <u>Case of missing information/documents:</u><br>▪ Asks PB to make necessary corrections or request new valid documentation<br><br>b. <u>Case of complete and valid documents/information:</u><br>▪ Authorizes the CIF creation on T24 |
| | **Temenos T24** | System automatically:<br>- Creates/updates FATCA record for the customer<br>- Runs a routine to identify the related CIFs<br>- Runs a U.S Indicia search routines and fills the related flag with "Yes" or "No" |
| **4** | **PB** | ***FATCA documentation***<br>▪ Prints out KYC (Know Your Customer) form and obtains customer's(s') signature on it<br>▪ Scans & uploads FATCA documentation and uploads them on IM module T24 (if any)<br>▪ Accesses FATCA Module, verifies the displayed customer details<br>▪ Inputs through the "Document details" page on FATCA Module the provided document(s) and specifies related date of receipt, and expiry date (if any)<br>▪ Selects client's classification based on due diligence outcome |
| | **Temenos T24** | ▪ System runs a routine to control the provided docs vs US Indicia result vs classifications/flags<br>▪ In case of mismatch system generates an "error message" and resets the classification to its previous status. Otherwise System saves the information and classification |
| | **PB or BM/ABM** | a. <u>Case of mismatch:</u><br>▪ PB Investigates the reason of mismatch and asks the client to provide missing/additional documents (if needed)<br>▪ End of process<br><br>b. <u>Case of no mismatch:</u><br>▪ BM/ABM checks the accuracy of the information inputted on T24 against submitted documents and verifies FATCA classification<br>▪ BM/ABM Verifies and authorizes CIF classification on T24 |
| | **Compliance Unit BBS** | In case US Indicia Identified,<br>▪ Verifies client information against the provided documents and ensures their correctness, completeness & reliability<br>▪ Verifies and authorizes CIF classification on T24 |

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| | **PB** | ▪ Hands the account opening form, related documents and the original W8 or W9 + secrecy waiver forms to ABM for final control |
| | **ABM/BM** | ▪ Ensures the completeness of the account opening and initials it<br>▪ Hands over the complete CIF opening to AS for proper filing in the fireproof cabinet |
| | **AS** | ▪ Prepares the list of specimens to be sent to Specimen of Signature Desk - Syria and collects ABM/BM signature on it after verification<br>▪ Sends the list along with the original specimen of signatures to SigCap Desk to upload signature(s) on SigCap application<br>▪ Files account opening documents (booklet, KYC, IDs, company's documents...) at the branch in the fireproof cabinet<br>▪ End of process |

## FATCA 2: Customer Information File creation with no banking relation

| No | Actor | Task |
|---|---|---|
| **1** | **PB** | Branch needs to create a CIF for a customer (Individual/Moral entity) without opening a financial account, (1)<br>▪ Obtains the legal identification document(s) of the customer (2)<br>▪ Asks client (if individual) to fill in and sign a FATCA Compliance form (3)<br>▪ Creates the CIF on T24 (with banking relation = no) by inputting the appropriate information and requests authorization from BM/ABM |
| | **Temenos T24** | System automatically:<br>- *Creates FATCA record for the customer*<br>- *System identifies related CIFs and runs US Indicia routine*<br>- *Classifies CIF "Out of FATCA scope"* |
| | **BM/ABM** | ▪ Checks the accuracy of the information inputted on T24 against submitted documents and verifies FATCA classification<br>▪ In case of missing/wrong documents, asks PB to make necessary corrections (If any) |
| | **PB** | ▪ Prints out the KYC from T24 and obtains customer(s)'s signature on it<br>▪ Obtains customer(s)'s signature on 2 specimens of signature<br>▪ Checks the completeness of the KYC form, signs it, dates it then hands it to BM/ABM |
| | **BM/ABM** | ▪ Ensures the completeness of the KYC form and hands it to PB |
| | **PB** | ▪ Places the signed KYC and FATCA Compliance form in the related account opening file<br>▪ End of process<br><br>***NB:*** |

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| | | *(1) Some CIFs are opened for clients who do not have an account relation with the bank (proxy holder, authorized signatory, BRO, Legal guardian, guarantor, etc.). Clients having CIFs flagged "banking relation = No" will not receive any mail from the bank thus no mailing information is required by the system.*<br>*(2) Only guarantors will exempted from filling in and signing FATCA Compliance form.* |

### FATCA 3: Customer Information File (CIF) Amendment

| No | Actor | Task |
|---|---|---|
| 1 | **PB** | ***CIF Amendment***<br>Upon client's request to amend CIF information,<br>▪ Executes necessary amendment on client's CIF and requests new documents (if needed) |
| | **Temenos T24** | ▪ System automatically runs a US Indicia search and detects if there is a change in circumstances (1) |
| | **PB** | a. <u>Case of change not affecting FATCA status:</u><br>▪ Obtains authorization from BM/ABM (if needed), prints out the KYC form from T24 and obtains customer(s) signature on it and files it in client's account opening file<br>▪ End of process<br><br>b. <u>Case of change in circumstances</u><br>- *Temenos T24 system automatically displays a notification **"Change in circumstances"** and flags the CIF accordingly*<br>▪ Obtains authorization from BM/ABM on the KYC amendment on T24, after controlling the information |
| | **PB** | ▪ Prints out the KYC form from T24 and obtains customer(s) signature on it<br>▪ Accesses FATCA Module, verifies the change details and checks if new documents need to be provided<br>▪ In case new documents to be provided, asks the customer to provide the necessary documentation as per FATCA Identification Guidelines<br><br>a. <u>Case of documents not provided on the spot:</u><br>▪ Go to FATCA 6 Change in circumstances<br><br>b. <u>Case of documents provided on the spot:</u><br>▪ Inputs and scans FATCA documentation on IM module then inputs them on the **documents details page on FATCA Module** detailing related date of receipt, and expiry date (if any) (2)<br>▪ Amends client's classification (if needed) and validates the input |

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| | | ***NB:***<br>***(****1) Change in circumstances is detected by the system when the change impacts US Indicia fields, account beneficial owner, proxy holder, signatory right, Industry code, GIIN, passive entities ownership or the standing order register for outgoing transfers (country field).*<br>*(2) Whenever the branch receives a W8 form pertaining to a "Passive NFFE", an update for shareholders information must be undertaken on T24 in accordance to the information stipulated in the W8 form before proceeding with FATCA classification.* |
| | **Temenos T24** | ▪ System runs a routine to control the provided docs vs US Indicia vs chosen classification<br>▪ In case of mismatch, system generates an "error message" and resets the classification to its previous status, otherwise system saves the information (including classification) |
| | **PB** | a. Case of mismatch:<br>▪ Investigates the reason of mismatch and asks the client to provide missing/additional documents (if needed)<br>b. Else:<br>▪ Requests authorization from BM/ABM |
| | **BM/ABM** | ▪ Controls client's details on FATCA Module and authorizes the amendments |
| **2** | **Compliance Unit BBS** | ***Compliance control***<br>Following branch control and authorization,<br>▪ Verifies client's information against the provided documents and ensures their correctness, completeness & reliability<br>▪ In case of missing/erroneous documents, requests from PB to collect additional documents. Otherwise, authorizes CIF classification on T24 and removes the flag **"Change in Circumstances".** |
| | **PB** | ▪ Files the documents in client's account opening file<br>▪ End of process |

## FATCA 4: Customer Information File (CIF) creation for Regulated FI

| No | Actor | Task |
|---|---|---|
| 1 | **RM at FI (BBL)** | ***Initiation of Banking relation***<br>▪ A new regulated FI entity wishes to open a FATCA financial account (Vostro account) with BBS,<br>▪ Asks the new FI entity via email to:<br>- Fill in an AML questionnaire (provided in the email)<br>- Provide legal documentation (including license/certificates…)<br>-Provide FATCA documentation (W8 form/W9form + waiver) to certify/prove its classification (including GIIN, If required)<br>Upon receipt of documents,<br>▪ Ensures the completeness, correctness & reliability of the provided documents then verifies the provided GIIN (if any) on the IRS website<br>▪ Sends to Group AML & Legal Compliance the original AML questionnaire for review |
| 2 | **Group AML & Legal Compliance** | ***Compliance approval***<br>▪ Reviews the due diligence of the new FI and ensures that it doesn't have relationship with shell banks otherwise informs RM at FI (BBL) to reject the Vostro acc.opening |
| | **Compliance Unit BBS** | ▪ Reviews the due diligence of the new FI and replies back to Group AML & Legal Compliance (BBL) |
| | **Group AML & Legal Compliance** | ▪ Retrieves from Bankers AlManac the filled Wolfsberg questionnaire (if any) and sends the hard copy to FI (BBL) for filing |
| | **RM at FI (BBL)** | Upon receiving compliance feedback,<br>a. <u>Case of negative feedback:</u><br>▪ Stops the account opening process<br>▪ End of process<br>b. <u>Case of Discrepant/missing documents:</u><br>▪ Asks via email the new FI entity to provide the documentary evidence proving the identified discrepancy (ies) or to provide missing/erroneous documents<br>*Upon receipt of complete docs,*<br>▪ Continue as per point c.<br>c. <u>Case of complete and accurate documents provided:</u><br>▪ Sends to new FI entity an email enclosing the following documents |

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| | | for filling and signature:<br>- Vostro Account Opening Contract<br>- BBG Terms and Conditions |
| **3** | **RM at FI (BBL)** | ***FI control and due diligence***<br><br>Upon receipt of duly signed contracts along with the required documentation (original copies),<br><br>▪ Checks the completeness of the provided documents<br>▪ Verifies the accuracy of the signed Vostro account opening contract and BBG Terms & Conditions then ensures the adequacy of the authorized signatures<br>▪ Reviews with Head of FI (BBL) and Head of Financial Markets the provided documents along with the purpose of Vostro account opening and approves/ declines the CIF creation and opening of account, according to bank study/due diligence/purpose of account opening/volume of business with BBG (if any) and compliance to FATCA<br><br>a. <u>Case of Head of FI & Head of Financial Markets rejection:</u><br>▪ Stops the account opening process and informs accordingly the new FI<br>▪ End of process<br><br>b. <u>Case of Head of FI & Head of Financial Markets approved on the Vostro account opening:</u><br>▪ Sends via email to new FI entity the acceptance of Vostro account opening and asks for Certification of Account Opening via SWIFT<br><br>Upon receipt of SWIFT certification for account opening,<br><br>▪ Sends an email to Operations department BBS (Cc: Head of Group Financial Markets Division, Treasury, International, FI) detailing the conditions of the account<br>▪ Sends to Operations department BBS via internal mail all the original documentations and signed contracts (in case received by FI department BBL) [(1)]<br><br>***<u>NB:</u>***<br>*Onboarding FI is any FI opening a new CIF or a first financial account staring 31.12.14.*<br>*1. Original documents can be remitted to FI department (BBL) or to the Operations department BBS. In the latter case, a shadow file must be kept at the FI department BBL.* |

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| 4 | **Operations department (BBS)** | ***CIF creation***<br><br>Upon receipt of the original Vostro account opening Contract, BBG Terms & Conditions and provided documentation along with W8 or W9 + secrecy waiver,<br><br>▪ Sends an email to Operations Coordinator (OD BBL), cc: FI department BBL confirming the receipt of documents, attaching a copy of the them and requesting CIF creation |
| | **Operations Coordinator (OD-BBL)** | ▪ Creates on T24 (BBS environment) the CIF of the FI and obtains authorization from Head of COD/Head of TF (BBL) [(2) (3)]<br><br>***NB:***<br>*(2) The amendment of FI CIF will be processed similarly to the opening of a new CIF without triggering the creation of a new financial account. In case of updating expired documents, system automatically updates the document details by removing the "expired documents".*<br>*(3) In case of existing CIF for the regulated FI, Operations Coordinator (OD BBL) will make sure to update CIF information and proceed in the same manner of opening a new CIF.* |
| | **Temenos T24** | ▪ System automatically:<br>- Creates/updates FATCA record for the customer<br>- Runs a routine to identify the related CIFs<br>- Runs a U.S Indicia search routines and fills the related flag with "Yes" or "No" |
| | **Operations Coordinator (OD- BBL)** | ▪ Uploads FATCA documentation on the IM module T24<br>▪ Accesses FATCA Module, screens the displayed customer details and inputs additional needed information<br>▪ Inputs through the "Document details" page on FATCA Module the provided document(s), and specifies related date of receipt, and expiry date (if any)<br>▪ Selects FI classification as per the provided withholding certificate (W8 or W9) |
| | **Temenos T24** | ▪ System runs a routine to control the provided docs vs US Indicia vs chosen classification<br>▪ In case of mismatch, system generates an "error message" and resets the classification to its previous status, otherwise system saves the information (including classification) |
| | **Operations Coordinator (BBL)** | a. <u>Case of mismatch:</u><br>▪ Investigates the reason of mismatch and asks the FI department (BBL) to provide missing/additional documents (if needed)<br><br>b. <u>Else:</u><br>▪ Requests authorization from Head of COD/ Head of TF (BBL) |

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| | **Head of COD/ Head of TF (BBL)** | ▪ Checks CIF inputted information against RM's email<br>▪ Approves and authorizes the classification on T24<br>▪ In case of US indicia, requests authorization from Compliance BBS |
| **5** | **Compliance Unit BBS** | ***Compliance Control & approval***<br>In case of US Indicia found,<br>▪ Verifies FI information on T24 and ensures the correctness and reliability of provided documents<br>▪ Authorizes CIF creation/amendment and classification<br>▪ Removes the flag **"Change in Circumstances"** (if any) |
| **6** | **Operations department BBS** | ***Opening of Vostro account***<br>After obtaining necessary authorizations on the CIF creation,<br>▪ Opens on T24 the Vostro account under the new FI's CIF<br>▪ Replies back via email to concerned RM at FI (BBL) (Cc: Financial Market Back Office, treasury, Operations) the Vostro account number<br>▪ Keeps in a dedicated manual folder (at the Vault) the Vostro account opening contract along with FI's original documents<br>▪ Sends a SWIFT message to the new FI detailing the Vostro acc. Number and informs FI dept. (BBL) accordingly<br>▪ End of process |

## FATCA 5: Follow-up on High-Value clients/Enhanced Review

| No | Actor | Task |
|---|---|---|
| **1** | **Compliance Unit BBS** | ***Follow-up on High Value clients***<br>At end of each year,<br>▪ *T24 system identifies CIFs with FATCA Financial Accounts that were not previously documented or classified*<br>▪ *T24 system aggregates the balances of identified FATCA Financial accounts (as of end of year)*<br>a. <u>Sum of aggregated FATCA financial accounts < USD 1M:</u><br>▪ End of process<br>b. <u>Sum of aggregated FATCA financial accounts≥ USD 1M:</u><br>▪ *T24 System flags the CIF with "High-Value" and "Change in Circumstances"*<br>▪ Go to FATCA 6 -Change in circumstances related to individual/NFFE/non regulated FI<br>***<u>NB:</u>*** |

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| | | *(1) The High-Value clients stands for pre-existing Individual clients having the aggregated balance of their FATCA Financial Accounts exceeding USD 1M on 30.06.14 or any client (individual/entity) at the end of each subsequent year.* |

## FATCA 6: Change in circumstances related to Individual/ Non Financial Entity/Non Regulated FI

| No | Actor | Task |
|---|---|---|
| 1 | **Temenos T24** | On daily basis (EOD),<br>▪ T24 identifies for each CIF:<br>- Expired documents<br>- Expired timeframe for "applied for GIIN"<br>▪ T24 flags the CIF as "**Change in Circumstances"** |
| 2 | **PB-AS** | ***Extraction of lists***<br>On weekly basis, Compliance Unit BBS extracts the list of CIFs flagged with "Change in circumstances" and sends it by email to BBS branches, (1)<br>▪ AS generates a **friendly notice** for each client, asking him to visit the branch in order to clarify his status and provide further documentation if needed and obtains (A+B) signatures on it<br>▪ AS dispatches the original notices to clients' home/work address via the Notary Public, keeps a copy in a dedicated manual folder and records them on FATCA follow-up page<br>a. <u>Case of documents provided within notice timeframe:</u><br>▪ Go to process nb. 4<br>b. <u>Else:</u><br>▪ AS generates and submits the warning letter (signed A+B) to clients' home/work address via the Notary Public asking them to close their FATCA financial accounts, keeps a copy in a dedicated manual folder and records the letters on FATCA follow-up page<br>i. <u>Documents provided within FATCA timeframe:</u> (2)<br>▪ Go to process nb. 4<br>ii. <u>Else</u><br>▪ Go to process nb.3 |
| 3 | **PB** | ***Classification of recalcitrant client***<br>Upon reaching the end of FATCA timeframe,<br>a. <u>Case of Entity:</u><br>▪ Identifies with ABM entity's classification based on the presumption rules |

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| | | ▪ Classifies the client as "Non Participant FFI" or "Recalcitrant Account Holder"<br><br>b. <u>Case of Individual client:</u><br>○ *At end of FATCA timeframe, T24 system will automatically classify CIF as recalcitrant*<br>▪ End of process<br>***<u>NB:</u>***<br>*(1) If the preset timeframe is not reached, but the client (individual) subject of change in circumstances due to an increase of his aggregated balance above $1M, receives an incoming transfer characterized by a US source of funds, then BBS will manually classify the client as "Withholding client" with post no credit restriction and withhold the payment.*<br>*(2) To note that the preset timeframe for clients (individual, entities) is 90 days. As for <u>Individual clients</u> having USD 1 M or above, the timeframe is equal to 6 Months.*<br>*(3) At the end of FATCA timeframe, entities' CIFs that were not classified based on presumption rues, will be automatically classified by T24 system as "Recalcitrant Account holder" or "NPFFI" based on specified business rules.* |
| | **BM/ABM** | ▪ Controls and authorizes the classification of CIF, then requests authorization from Compliance Unit BBS |
| | **Compliance Unit BBS** | ▪ Controls and authorizes the classification of CIF on T24<br>▪ End of process |
| **4** | **PB** | ***Client Documentation***<br><br>Upon receipt of FATCA documentation,<br><br>▪ Controls the correctness and reliability of the provided documents (date of issuance, accuracy of contents)<br><br>a. <u>Case of unreliable/erroneous documents:</u><br>▪ Request from the client to provide valid documents before the end of FATCA timeframe<br>▪ End of process<br><br>b. <u>Case of reliable and correct documents:</u><br>▪ Inputs and scans FATCA documentation (if any) on IM module then inputs them on "Document details" page - FATCA Module, detailing related date of receipt, and expiry date (if any) [(4)]<br>▪ Amends client's classification (if needed) and validates the input<br><br>***<u>NB:</u>***<br>(*4) Whenever the branch receives among FATCA documents a W8 form pertaining to* |

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| | | *Passive NFFE, PB will make sure to update the shareholder information on the CIF according to the Owner certification section.*<br>*NB: The acknowledgment of receipt of the friendly notice and warning letter will be filed at the branch in a dedicated folder.* |
| | **Temenos T24** | ▪ System runs a routine to control the provided docs vs US Indicia vs chosen classification<br><br>a. <u>Case of mismatch:</u><br>▪ System generates an "error message" and resets the classification to previous status<br><br>b. <u>Case of no mismatch</u><br>▪ System saves the information (including classification) |
| | **PB** | ▪ In case of mismatch, investigates the reason of mismatch and asks the client to provide missing/additional documents (if needed) before end of FATCA timeframe. Otherwise if no mismatch occurs, requests authorization from ABM/BM |
| **5** | **BM/ABM** | ***FATCA Documentation***<br>Upon receipt of FATCA documentation,<br>▪ Checks the accuracy of the information inputted on T24 against submitted documents and verifies FATCA classification<br>▪ Authorizes the classification of CIF, then requests authorization from Compliance Unit BBS |
| | **Compliance Unit BBS** | ▪ Verifies client's information against the provided documents and ensures their correctness, completeness & reliability<br><br>a. <u>Case of erroneous/unreliable documents:</u><br>▪ Requests from PB to collect additional documents before reaching FATCA timeframe<br>▪ End of process<br><br>b. <u>Case of correct & reliable documents:</u><br>▪ Authorizes the CIF classification on T24<br>▪ Removes the flag **"Change in Circumstances"** |
| | **PB/AS** | ▪ Files the documents within client's account opening file and updates FATCA follow-up sheet accordingly<br>▪ End of task |

## FATCA 7: Change in circumstances related to Regulated Financial Institutions

| No | Actor | Task |
|---|---|---|
| 1 | **Temenos T24** | On daily basis (EOD),<br>▪ T24 identifies for each CIF:<br>- Expired documents<br>- Expired timeframe for "applied for GIIN"<br>▪ T24 flags the CIF as "**Change in Circumstances"** |
| 2 | **Compliance Unit BBS** | ***Extraction of lists***<br>On weekly basis, Compliance Unit BBS extracts the list of regulated FIs CIFs marked with change in circumstances,<br>▪ Sends the list by email to Operations BBS (cc: FI department BBL) requesting them to send a swift notification to the FI<br>- Operations department sends a Swift Notification to regulated FI requesting them to provide within a preset timeframe the needed documentation in order to prove FATCA classification (including W8/W9 + secrecy waiver), informs FI (BBL) accordingly and records the notification on FATCA excel register [(1)]<br>a. <u>Case of documents provided within 30 days:</u><br>▪ Go to process nb. 4<br>b. <u>Else:</u><br>▪ Sends an email to Operations department BBS requesting them to submit a final Notification through Swift requesting the closure of FI's financial accounts<br>- Operations department sends a second Swift notification to the regulated FI requesting the closure of FATCA financial accounts, informs FI department (BBL) accordingly and records the notification on FATCA excel register |
| 3 | **Compliance Unit BBS** | ***Classification of recalcitrant client***<br>Upon reaching defined timeframe [(1)],<br>▪ Identifies the entity's classification based on the presumption rules<br>▪ Submits an e-mail to the Operations Coordinator (cc Compliance Unit + Head of COD BBL) specifying FI's classification<br>*upon receipt of email confirmation from Operations department BBS*<br>*2. The preset timeframe for entities (including FI) is 90 days.* |

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| | **Operations Coordinator (BBL)** | ▪ Classifies manually the client on T24 as Recalcitrant Account Holder/ NPFFI upon FI's (BBL) Instructions and notifies them through email<br>▪ Obtains authorization on the classification from Head of COD/TF BBL then from Compliance Unit BBS<br>▪ End of process |
| **4** | **Compliance Unit BBS** | ***Client Documentation***<br>Upon receipt of FATCA documentation,<br>▪ Ensures in coordination with FI BBL the correctness & reliability of the provided documents (date of issuance, accuracy of contents) against the FATCA Identification Guidelines<br>a. <u>Case of unreliable/erroneous documents:</u><br>▪ Sends an email to Operations BBS (cc: FI BBL) requesting missing/erroneous documents before end of the defined deadline<br>▪ End of process<br>b. <u>Case of reliable documents:</u><br>▪ Informs Operations BBS and provide clearance |
| | **Operations Department BBS** | ▪ Notifies the Operations Coordinator (cc: Compliance Unit BBS) via e-mail, attaching a copy of the documents and asks him to update FI's documentation<br>▪ Files original documents in fireproof cabinet and sends a copy to FI BBL |
| | **Operations Coordinator (BBL)** | ▪ Inputs and scans FATCA documentation on IM module then inputs them on the documents details page on FATCA Module detailing related date of receipt, and expiry date (if any)<br>▪ Amends client's classification (if needed) and validates the input<br>- *T24 system runs a routine to control the provided docs vs US Indicia vs chosen classification*<br>a. <u>Case of mismatch:</u><br>- *T24 system generates an "error message" and resets the classification to previous status*<br>▪ Sends an email to FI department (BBL) and awaits their reply<br>b. <u>Case of no mismatch:</u><br>▪ *T24 system saves the information (including classification)*<br>▪ Requests authorization from TF/COD<br>▪ Requests authorization from Compliance BBS<br>▪ Asks Compliance BBS to remove the Change in circumstances flag<br>▪ End of process |

## FATCA 8: Electronic review of pre-existing clients

| No | Actor | Task |
|---|---|---|
| 1 | **Temonos T24** | ***Automatic classification of Individual clients***<br><br>On August 25, 2014 for Individuals,<br>▪ Launches a routine for the identification of pre-existing CIFs having **FATCA Financial Accounts** as of **August 25, 2014**<br>▪ Runs a US indicia search for each identified CIF as well as for related CIFs<br>▪ Aggregates the balances of identified FATCA Financial accounts **(as of August 25, 2014)**<br>▪ Flags/classifies the CIFs as one of the following:<br>- "Potential US person (Individual)"<br>- "Non US Person (Individual)"<br>- "Out of FATCA scope"<br>▪ Exports the identified CIFs to FATCA Module and creates FATCA record for each CIF<br>▪ End of process |
| 2 | **Temonos T24** | ***Automatic classification of entities***<br><br>On January 02, 2015 for entities,<br>▪ Launches a routine for the identification of pre-existing CIFs having **FATCA Financial Accounts** as of **December 31, 2014**<br>▪ Runs a US indicia search for each identified CIF as well as for related CIFs<br>▪ Aggregates the balances of identified FATCA Financial accounts as of **December 31, 2014**<br>▪ Flags/classifies the CIFs (taking into consideration the Industry code), as one of the following:<br>- Out of FATCA scope<br>- Non US Person (Entity)<br>- Potential US Person (Entity)<br>- Active NFFE<br>- Exempted Beneficial owner<br>- FFI<br>- Potential Passive NFFE<br>▪ Exports the identified CIFs to FATCA Module and creates FATCA record for each CIF<br>▪ End of process |

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| **3** | **Compliance Unit BBS** | ***Extraction of list of Individual clients***<br><br>On August 25, 2014,<br><br>▪ Extracts from T24 (per BBS branch):<br>- The list of pre-existing Potential US Persons (Individuals)(1)<br>▪ Dispatches the list of Potential US Persons (Individual) by email to BM/ABM of BBS branches specifying the timeframe to process client's documentation & classification<br>▪ Go to FATCA 9– Notification/Documentation of Potential US Person |
| **4** | **Compliance Unit BBS** | ***Extract of list of Entities***<br><br>On January 02, 2015,<br><br>▪ Extracts from T24 (per BBS branch):<br>- The list of pre-existing Potential US Persons (entities)/Potential Passive NFFE<br>- List of pre-existing regulated FIs<br>▪ Dispatches the list of **Potential US Persons (entities)/Passive NFFE** by email to BM/ABM of BBS branches specifying the timeframe to process client's documentation & classification<br>▪ Dispatches by email to Operations BBS (cc: FI BBL) **the list of preexistent regulated FIs** per country and informs them of the specified timeframe to process the proper identification/classification<br>▪ Go to FATCA 11- Notification/documentation of preexisting Regulated FIs<br><br>***NB:***<br>*(1) The list of Potential US persons Individuals must indicates the clients that are High value given that they are granted a different timeframe for the documentation process.* |
| | **BM/ABM** | ▪ Acknowledges receipt of the lists to Compliance Unit BBS via email<br>▪ Submits the lists of CIFs with **"Potential US persons" and "Potential Passive NFFE"** to PB/AS<br>▪ Go to FATCA 9– Notification/Documentation of Potential US Person<br>▪ End of process |

**FATCA 9: Notification and documentation of Potential US Persons (Individual/NFE/Non Regulated FI)**

| No | Actor | Task |
|---|---|---|
| 1 | PB/AS | ***Client's contact***<br><br>Upon receipt of the list of Potential US persons and Potential Passive NFFE,<br>▪ Identifies from the FATCA Identification Guidelines the required evidence documents to cure the identified US Indicia<br>▪ Contacts the client on his phone number and asks him to visit the branch in order to obtain information regarding his FATCA status<br><br>a. <u>Case of client visits the branch:</u><br>▪ Requests from the client to provide necessary documentation to clarify his FATCA status<br>▪ Go to process nb.3<br><br>b. <u>Case of client does not respond to the phone call:</u><br>▪ Follows-up with the client to visit the branch and provide required information/documentation |
| | BM/ABM | ▪ Updates the list of potential US persons/Passive NFFEs received from Compliance Unit BBS by marking the Notified clients<br>▪ Returns the updated list to Compliance Unit by email<br>▪ End of process |
| 2 | AS | ***Friendly notification***<br><br>Four months prior to the end of FATCA timeframe, Extracts the list of "Potential US Persons (Individual/Entities excluding FIs) & Potential Passive NFFEs", and sends it by email to BM/ABM of BBS branches for submission of written notices,<br>▪ Generates from T24 a friendly notice for each client identified in the list submitted by compliance and obtains (A+B) signatures on them<br>▪ Photocopies the original notices and keeps the copy in a dedicated manual file<br>▪ AS dispatches the original notices to clients' home/work address via the Notary Public and records them on FATCA follow-up sheet |
| 3 | PB/AS | a. <u>Case of needed documents not provided within specified timeframe:</u><br>▪ Go to FATCA 10 - Final Notification for providing requested documents<br><br>b. <u>Case of needed docs provided within specified timeframe:</u><br>▪ Ensures the correctness, completeness and reliability of the provided documents against FATCA Identification guidelines |

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| | | i. Client is a Passive NFFE:<br>▪ Makes sure that client has properly filled the Owner certification section in the provided withholding certificate<br>▪ Continue as per point iii<br>ii. Client is a Non Regulated FI:<br>▪ Ensures with BM/ABM the validity of the GIIN number on the IRS website<br>▪ Continue as per point iii<br>iii. Else:<br>▪ Inputs and scans FATCA documentation on IM module (1)<br>▪ Accesses FATCA Module and verifies client information then inputs them on the **documents details page on FATCA Module** detailing related date of receipt, and expiry date (if any)<br>▪ Selects client's classification based on the provided documents (mainly W8/W9 form) and the due diligence outcome<br>***NB:***<br>*(1) Whenever the branch receives a W8 form pertaining to a "Passive NFFE", an update for shareholders information must be undertaken on T24 in accordance to the information stipulated in the W8 form before proceeding with FATCA classification. The acknowledgment of receipts of the notices/warnings must be properly filed in a dedicated folder at the branch* |
| | **Temenos T24** | ▪ System runs a routine to control the provided docs vs US Indicia result vs classifications/flags<br>▪ In case of mismatch, system generates an "error message" and resets the classification to its previous status System, otherwise system saves the information and classification |
| | **PB/AS** | a. Case of mismatch:<br>▪ Investigates the reason of mismatch and asks the client to provide missing/additional documents (if needed)<br>▪ End of process<br><br>b. Case of no mismatch:<br>▪ Hands the documents to BM/ABM for control |
| | **ABM/BM** | ▪ Checks the accuracy of the information inputted on T24 against submitted documents and verifies FATCA classification<br>▪ Authorizes the classification on T24 |
| | **Compliance Unit BBS** | ▪ Verifies client information against the provided documents and ensures their correctness, completeness & reliability<br>▪ Authorizes CIF classification on T24 |

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| | **PB/AS** | ▪ Files the documents within client's account opening file<br>▪ End of process |
| | **ABM/BM** | **On monthly basis**<br>▪ Follows-up with PB/AS on client's documentation/classification |

## FATCA 10: Final Notification for providing requested documents

| No | Actor | Task |
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| 1 | **Compliance Unit BBS** | ***Warning***<br>2 months prior to reaching the FATCA timeframe for providing requested documents,<br>▪ Extracts from T24 the list of undocumented clients that are under FATCA due diligence<br>▪ Sends via email to ABM of related branch a closure request having as attachment the extracted lists for undocumented clients |
| | **AS** | Upon BM/ABM instructions to prepare a warning letter for each client,<br>▪ Generates the **warning letter** from T24 (1)<br>▪ Submits the **warning letter** to ABM for review and signature<br>- BM/ABM Controls and signs the **warning letters** (A+B) along with a second authorized signatory<br>▪ Photocopies the original **warning letters** and keeps the copies in a dedicated manual file<br>▪ Dispatches the original warning letters to clients' home/work address via the Notary Public and records them on FATCA follow-up sheet |
| | **PB** | a. <u>In case the client provided the documents before the end of the preset timeframe:</u><br>▪ Return to FATCA 9 – process nb 3 - point b. (client responds to Notification)<br><br>b. <u>In case the client did not provide documents:</u><br>i. <u>Case of Individual client:</u><br>▪ At end of FATCA timeframe, T24 system automatically:<br>- Classifies the CIF as "recalcitrant account holder" (1)<br>- Allocates a Post no credit restriction<br>- Restricts the opening of new FATCA financial account<br>- End of process<br><br>ii. <u>Case of entity client:</u><br>▪ Identifies with ABM the classification of the entity based on the presumption rules (2) |

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| | | ▪ Accesses client's CIF, classifies it as **recalcitrant account holder or NPFFI**<br>▪ Go to process nb 2<br><br>c. <u>In case the client wishes to close all the FATCA Financial Accounts:</u><br>▪ Classifies the client as "Recalcitrant Account holder" or "NPFFI" and obtains authorization from BM/ABM and compliance department<br>- *System will allocate a Post no credit restriction to the CIF and the opening of new FATCA financial accounts will be restricted*<br>▪ Closes all the identified FATCA Financial accounts under the CIF(s) and requests authorization from BM/ABM (3)<br>▪ Obtains authorization from BM/ABM<br>▪ End of process<br><br>***<u>NB:</u>***<br>*(1) The final notification informs the Client that BBS has decided to close his account at the end of a specific period of time (before FATCA preset timeframe) due to FATCA reasons, and invites the latter to withdraw the balance. The acknowledgment of receipt of the notices/warning letters must be filed in a dedicated folder at the branch.*<br>*(2) Entities that are FIs and having US Indicia will be classified as "Recalcitrant Account Holder". All other entities will be classified as "Non Participating FFI"*<br>*(3) BBS will undertake the forced closure of all FATCA financial accounts pertaining to a "Recalcitrant account holders" and "NPFFI". The forced closure is tackled in a separate procedure.*<br>*(4) Whenever a client closes all his accounts (regardless whether they are FATCA financial account or not), banking relation must be flagged "No" and CIF must be flagged as closed.* |
| **2** | **BM/ABM** | ***Verification***<br>▪ Verifies the classification of the CIF, authorizes it on T24 and requests authorization from Compliance Unit BBS |
| | **Compliance Unit BBS** | ▪ Verifies and authorizes the classification on T24<br>▪ End of process |

## FATCA 11: Notification and documentation of pre-existing Regulated FIs

| No | Actor | Task |
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| 1 | **Operations Department BBS** | ***Notification of pre-existing Regulated FIs***<br><br>Upon receipt of the **lists of pre-existing regulated FIs per country** from Compliance Unit BBS,<br>▪ Submits an email to the regulated FI subject of due diligence requesting FATCA documentation [1] |
| | **Compliance Unit BBS** | a. <u>Case of documents provided:</u><br>▪ Go to process nb. 2<br><br>b. <u>Case of documents not provided:</u><br>**2 months prior to reaching FATCA timeframe,**<br>▪ Extracts from T24 the list of undocumented clients under due diligence<br>▪ Submits the list to Operations (BBS) |
| | **Compliance Unit BBS** | ▪ Submits to the regulated FI a swift notification requesting the closure of FATCA financial accounts [1]<br><br>a. <u>Case of documents provided within FATCA time frame:</u><br>▪ Go to process nb.2<br><br>b. <u>Case of documents not provided:</u><br>▪ Identifies the classification of the entity based on the presumption rules and submits it by email to the Operations Coordinator (BBL) cc: Head of COD (BBL) [2] |
| | **Operations Coordinator BBL** | ▪ Accesses client's CIF, classifies it as **recalcitrant account holder or NPFFI**<br>▪ Obtains authorization from Head of TF/Head of COD [3] |
| | **Compliance Unit BBS** | ▪ Verifies on T24 FI information and the classification<br>▪ Authorizes CIF classification on T24<br>- *System automatically add a Post no credit restriction to the CIF and restricts the opening of new FATCA financial accounts.*<br>▪ End of process<br><br>***<u>NB:</u>***<br>*(1) Operations department BBS will submit the Swift message and record the notifications on FATCA electronic register.*<br>*(2) Entities that are FIs and having US Indicia will be classified as "Recalcitrant Account Holder". All other entities will be classified as "Non Participating FFI".* |

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| | | *(3) BBS will undertake the forced closure of all FATCA financial accounts pertaining to a "Recalcitrant account holders" and "NPFFI". The forced closure is tackled in a separate procedure.*<br>*NB: Before the end of FATCA timeframe, client can request the closure of all his financial accounts to terminate the relation with BBS. In that case the closure will be processed as per normal closure process described in PSY 01 CIF & Account opening procedure , and CIF will be accordingly flagged "Closed".* |
| **2** | **Operations department BBS** | ***Control of FATCA documentation***<br><br>Upon receipt of documents,<br>▪ Photocopies the provided documents and sends a copy to Compliance BBS and FI BBL |
| | **Compliance Unit BBS** | ▪ Controls with FI BBL the correctness & reliability of the provided documents (received via external mail) and ensures the existence of GIIN on IRS website (when required)<br>▪ Replies back by email to Operations BBS |
| | **Operations department BBS** | ▪ Sends a copy of the documents by email to Operations Coordinator (BBL) (cc Head of COD BBL) for classification and files original within regulated FI's file in fireproof cabinets |
| | **Operations Coordinator BBL** | ▪ Uploads and inputs FATCA documentation on IM module<br>▪ Accesses FATCA Module and verifies client information then inputs them on the **documents details page** detailing related date of receipt, and expiry date (if any)<br>▪ Amends client's classification (if needed) and validates the input |
| | **Temenos T24** | ▪ System runs a routine to control the provided docs vs US Indicia vs chosen classification<br>▪ In case of mismatch, system generates an "error message" and resets the classification to previous status. Otherwise, system saves the information (including classification) |
| | **Operations Coordinator BBL** | a. <u>Case of mismatch:</u><br>▪ Sends an email to Operations BBS (cc: FI BBL) informing them about the mismatch and awaits their reply<br>b. <u>Case of no mismatch:</u><br>▪ Obtains authorization from Head of TF/COD |
| | **Compliance Unit BBS** | ▪ Verifies on T24 FI information and provided documents (soft copies) and ensures the validity of the documents<br>▪ Authorizes CIF's final classification<br>▪ End of process |